

Baillie Gifford US Growth Trust

LSE: USA / OTC: BLGFF : BLGFF · Private \$1.13B mkt cap · 277M sh · \$0M cash, \$50M debt · NAV \$4.61/sh (~344p), ~2-3% discount; Saba Capital ~29% Pre-Valuation (exit-scenario) — discount-control catalyst; ~30-40% private: SpaceX 16.5%, Anthropic 7.4%

\$4.25

last round mark · NAV 343.91p (Jun-2026); ~2-3% discount

THE CENTRAL QUESTION

Is the ~2-3% discount to a 343.91p NAV defensible against a probability-weighted distribution of NAV-realization outcomes over 3-4 years — when the easy re-rating is largely spent and the NAV itself leans on illiquid private marks (SpaceX at ~2× third-party fair value)?

USA is a closed-end US-growth trust whose share price (\$4.25) sits a few points below a 343.91p NAV (\$4.61). The dominant variable is not an operating DCF — there is no operating business, only a portfolio — but the NAV-realization distribution: you buy at a discount and "exit" by realizing NAV as the discount narrows and the book compounds over 3-4 years. The hook is the ~30-40% unlisted sleeve (27-28 names): SpaceX 16.5% and Anthropic 7.4% are ~24% of assets in two illiquid marks. Saba's ~29% activist stake has already compressed the discount from ~20% (2023) to ~2-3%, so the re-rating money is largely spent. The bear is not slow erosion but a 2022 redux — a growth drawdown plus stale private marks written down — with the discount re-widening. Probability-weighted PV lands ~\$4.18, ≈ the price. The single most consequential editorial input is the private-mark realism, not the discount. Five NAV-realization scenarios, weighted; show your work.

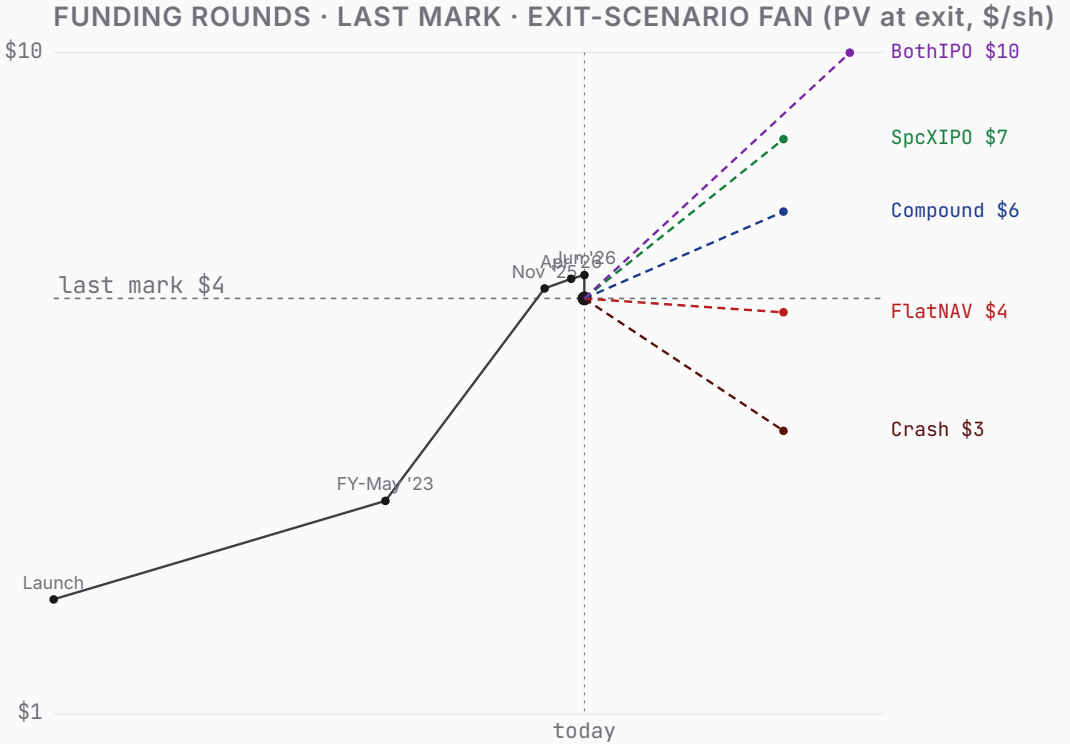
PROBABILITY-WEIGHTED EXPECTED VALUE

\$4.18
expected fair value today
-1.6% vs last mark \$4.25

WEIGHTING RATIONALE

- Crash Redux 12% 2022 redux — growth drawdown + private marks cut + discount re-widens to ~20%.
- Flat NAV 25% NAV treads water; discount drifts back to ~12% if buybacks slow or Saba exits.
- Compounder 38% Modal: NAV compounds ~10%/yr, discount holds ~5%; return is portfolio, not re-rating.
- SpaceX IPO 18% SpaceX lists at/above carry, marks crystallize, discount closes to par.
- Both IPO 7% SpaceX + Anthropic both IPO above carry; discount flips to a small premium.

SpaceX IPO (18%) + Both IPO (7%) contribute \$2 — 36% of the \$4 weighted PV despite 25% combined probability. The last round mark (\$4) sits 2% above the weighted PV, so secondary buyers paying through the mark are roughly justified. The venture discount rate is the load-bearing input — see Page 4 sensitivity.



CRASH REDUX	\$2.04	FLAT NAV	\$3.08	COMPOUNDER	\$4.38	SPACEX IPO	\$5.64	BOTH IPO	\$6.96
	-52.0% vs spot		-27.5% vs spot		+3.1% vs spot		+32.7% vs spot		+63.8% vs spot
Exit \$1B Yrs 3.0 WACC 10% Prob 12%		Exit \$1B Yrs 3.0 WACC 10% Prob 25%		Exit \$2B Yrs 3.0 WACC 10% Prob 38%		Exit \$2B Yrs 3.0 WACC 10% Prob 18%		Exit \$3B Yrs 4.0 WACC 10% Prob 7%	
Growth crash; private marks cut.		NAV flat; discount widens to ~12%.		NAV +10%/yr; discount ~5%.		SpaceX IPO; discount → par.		SpaceX + Anthropic IPO above carry.	



Baillie Gifford US Growth Trust scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 25% Base 38% Bull 18% Ultra Bull 7% · Weighted expected \$4.18 (-1.6% vs spot)

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Probability 12%

Growth crash; private marks cut.

WHY 12%

A growth drawdown, a private-mark reset, and a discount re-widening are correlated — the same risk-off regime drives all three — which is why the tail is fatter than for a single binary. Each is 30-45% plausible over three years; jointly ~12%. The 5-yr annualised NAV record (+3.9% vs benchmark +14.5%) proves the 2022-style drawdown is a lived outcome here, not a hypothetical, so the a-priori sits above a typical equity fund's.

WHAT HAPPENS

A 2022 redux. US growth equities draw down hard; the SpaceX 16.5% and Anthropic 7.4% marks — already rich (BG carries SpaceX at ~\$1.6T vs Morningstar's ~\$780B fair value) — get written toward third-party levels as a delayed IPO or down-round resets the carry. Net gearing (~3%) amplifies the fall. Saba, having compressed the discount, either exits or shifts tactics; with buybacks no longer enough to hold it, the discount re-widens toward the ~20% it carried in 2023 and the AIC North-America peer average (~20.8%).

NAV falls to ~\$3.35/sh and the discount re-opens to ~20%, so the share-price "exit" lands near \$2.68 nominal in 2029 — discounted three years at the 9.5% fund required return, expected PV is ~\$2.04/share, roughly half today. No total-loss term: a diversified equity portfolio doesn't go to zero.

Probability 25%

NAV flat; discount widens to ~12%.

WHY 25%

Modal-adjacent over three years. The activist overhang makes a full 2023-style blowout unlikely, but a drift to low-teens is easy if NAV stops compounding and buyback cadence slows. The realistic lever is Saba's posture — a tender or wind-down resolves the discount, but a quiet exit re-opens it. 25% reflects that "flat and re-widening" is a live, often-ignored middle.

WHAT HAPPENS

The "treads water" path. US growth de-rates modestly and the private sleeve is held flat — no SpaceX IPO to crystallize the carry, Anthropic marks paused — so NAV ends 2029 roughly where it started. With nothing compounding and Saba's presence less decisive (or its buyback firepower spent), the discount drifts back out to ~12% — wider than today but short of the 2023 blowout, since the activist overhang still caps it below the ~20.8% peer average.

NAV holds near \$4.60/sh but a ~12% discount puts the share-price exit at ~\$4.05 nominal in 2029. PV at the 9.5% fund discount over three years: ~\$3.08 — meaningfully below today even though NAV barely moved, because the discount, not the portfolio, does the work. This is the underappreciated outcome: you can be right on NAV and still lose on the re-rating.

Probability 38%

NAV +10%/yr; discount ~5%.

WHY 38%

Modal. Conditions: US growth compounds at a mid-cycle pace, no private-mark reset, the discount holds single-digit under continued buybacks. Each individually ~65-80%; jointly ~38%. This IS the base case but not overwhelming — the trust can slide into FlatNAV if buybacks slow or into the bull cases if a SpaceX IPO crystallizes the carry.

WHAT HAPPENS

The portfolio does its job. US growth holdings — Amazon, Meta, Shopify, Nvidia, Netflix, DoorDash — compound NAV ~10%/yr, the private sleeve holds or appreciates modestly (Anthropic marks firm, SpaceX steady), and the discount settles around ~5% as Saba's buyback discipline persists without a full closure event. No re-rating windfall and no write-down — just the book working over three years, which is the honest base for a trust already trading near par.

NAV compounds from \$4.61 to ~\$6.05/sh by 2029; at a ~5% residual discount the share-price exit is ~\$5.75 nominal. PV at the 9.5% fund discount over three years: ~\$4.38 — about 3% above today. The modest premium to spot is the point: with the discount already compressed, the return now comes from NAV compounding, not the re-rating that drove the last two years.

Probability 18%

SpaceX IPO; discount → par.

WHY 18%

Requires a SpaceX IPO (or a credible secondary at/above carry) inside the window plus continued public-book compounding plus a discount that closes rather than re-opens. Each 40-60% individually; jointly ~18%. A SpaceX listing is plausibly catalytic but timing is the binary — it could slip past 2029, which pushes this into the ultra-bull's longer horizon.

WHAT HAPPENS

The private sleeve crystallizes. A SpaceX IPO (toward \$1.6-1.75T) validates BG's carry rather than cutting it, the Anthropic mark continues to re-rate (it more than doubled from 3.3% to 7.4% in Apr-2026), and the public book compounds alongside. With the private marks proven and Saba's pressure intact, the discount closes to par — buybacks at a tightening discount stay NAV-accretive.

NAV reaches ~\$7.40/sh by 2029 and the discount goes to ~0, so the share-price exit ≈ \$7.40 nominal. PV at the 9.5% fund discount over three years: ~\$5.64 — about 1.3× today. The upside is real but bounded: even crystallizing the single richest mark, the holder captures NAV compounding plus the last few points of discount, not a venture multiple.

Probability 7%

SpaceX + Anthropic IPO above carry.

WHY 7%

Tail of tails. Both anchor names listing above carry AND a strong AI tape AND the discount flipping to a premium — a four-vector conjunction over a longer horizon. 5-10% feels right; 7% acknowledges the real optionality in the SpaceX + Anthropic marks without pretending two clean IPOs above carry are likely.

WHAT HAPPENS

The genuine tail. Both anchor private names list above carry — SpaceX at the top of its range and Anthropic via its own IPO above the 7.4% mark — while the US growth book runs with a strong AI tape. The discount not only closes but flips to a small premium as the market chases a trust that just printed two private-to-public windfalls; buybacks pause as the shares trade above NAV.

NAV compounds to ~\$9.5/sh and a small premium puts the four-year share-price exit near \$10.0 nominal. PV at the 9.5% fund discount over four years: ~\$6.96 — about 1.6× today. It contributes a meaningful slice of weighted value despite only 7% probability, but it is bounded by being a fund, not a single moonshot: the tail is two IPOs landing right, not one company going parabolic.

Baillie Gifford US Growth Trust business snapshot

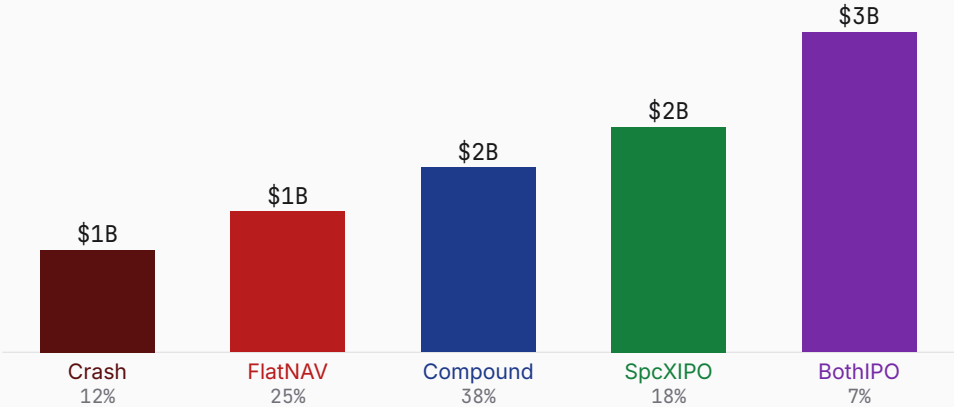
Bear \$3.08 Base \$4.38 Bull \$5.64

NAV-per-share history + NAV-realization distribution · no operating DCF (a fund, not a business) · private-mark realism is the load-bearing input

NAV per share history (USD; marks, not raises)



NAV-realization distribution (per share, USD)



Sources: Baillie Gifford US Growth Trust factsheets & RNS, AIC, Morningstar, Saba Capital 13D/RNS disclosures, LSE pricing, SpaceX/Anthropic secondary marks.

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Bear \$3.08 Base \$4.38 Bull \$5.64 · Weighted \$4.18 (-1.6%)

CRASH REDUX				FLAT NAV				COMPOUNDER				SPACE X IPO				BOTH IPO			
\$2.04				\$3.08				\$4.38				\$5.64				\$6.96			
ASSUMPTIONS				ASSUMPTIONS				ASSUMPTIONS				ASSUMPTIONS				ASSUMPTIONS			
Exit kind	down round			Exit kind	stay private			Exit kind	stay private			Exit kind	ipo			Exit kind	ipo		
Exit year	2029			Exit year	2029			Exit year	2029			Exit year	2029			Exit year	2030		
Exit post-money	\$1B			Exit post-money	\$1B			Exit post-money	\$2B			Exit post-money	\$2B			Exit post-money	\$3B		
Per-share at exit (\$)	2.68			Per-share at exit (\$)	4.05			Per-share at exit (\$)	5.75			Per-share at exit (\$)	7.4			Per-share at exit (\$)	10		
Years to exit	3.0			Years to exit	3.0			Years to exit	3.0			Years to exit	3.0			Years to exit	4.0		
Venture WACC (%)	10			Venture WACC (%)	10			Venture WACC (%)	10			Venture WACC (%)	10			Venture WACC (%)	10		
Dilution to exit (%)	+0			Dilution to exit (%)	+0			Dilution to exit (%)	+0			Dilution to exit (%)	+0			Dilution to exit (%)	+0		
P(total loss) (%)	0			P(total loss) (%)	0			P(total loss) (%)	0			P(total loss) (%)	0			P(total loss) (%)	0		
Scenario probability (%)	12			Scenario probability (%)	25			Scenario probability (%)	38			Scenario probability (%)	18			Scenario probability (%)	7		
EXIT → PV PER SHARE				EXIT → PV PER SHARE				EXIT → PV PER SHARE				EXIT → PV PER SHARE				EXIT → PV PER SHARE			
Per-share at exit (nominal)	\$2.68			Per-share at exit (nominal)	\$4.05			Per-share at exit (nominal)	\$5.75			Per-share at exit (nominal)	\$7.4			Per-share at exit (nominal)	\$10		
÷ (1+10%)^3.0	\$2.04			÷ (1+10%)^3.0	\$3.08			÷ (1+10%)^3.0	\$4.38			÷ (1+10%)^3.0	\$5.64			÷ (1+10%)^4.0	\$6.96		
= Expected PV per share	\$2.04			= Expected PV per share	\$3.08			= Expected PV per share	\$4.38			= Expected PV per share	\$5.64			= Expected PV per share	\$6.96		
PV SENSITIVITY TO DISCOUNT RATE				PV SENSITIVITY TO DISCOUNT RATE				PV SENSITIVITY TO DISCOUNT RATE				PV SENSITIVITY TO DISCOUNT RATE				PV SENSITIVITY TO DISCOUNT RATE			
15%	18%	22%	25%	15%	18%	22%	25%	15%	18%	22%	25%	15%	18%	22%	25%	15%	18%	22%	25%
\$2	\$2	\$1	\$1	\$3	\$2	\$2	\$2	\$4	\$3	\$3	\$3	\$5	\$5	\$4	\$4	\$6	\$5	\$5	\$4

Baillie Gifford US Growth Trust supporting analysis · disclaimers · glossary

Bear \$3.08 Base \$4.38 Bull \$5.64

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

The easy re-rating is already spent.
Saba compressed the discount from ~20% (2023) to ~2-3%, vs the ~20.8% AIC peer average — little discount left to harvest.
- 2

The private marks are rich, not conservative.
BG marks SpaceX at ~\$1.6T vs Morningstar's ~\$780B (~2×); SpaceX + Anthropic ≈ 24% of NAV in two illiquid marks — concentration + valuation risk.
- 3

The 5-year record lags badly.
5-yr annualised NAV +3.9% vs benchmark +14.5% (the 2022 crash); the recent recovery isn't yet a re-rating of the manager.
- 4

Saba is catalyst and risk in one.
~29% stake forces buybacks/tenders that keep the discount tight — but a Saba exit/wind-down is the single largest re-widening trigger.

FALSIFICATION TRIGGERS

Bear validation US growth drawdown ≥20% · SpaceX/Anthropic marks written toward third-party fair value · Saba exits and the discount re-opens past ~12%	Bull validation SpaceX IPO at/above carry · Anthropic mark re-rates again · discount holds ≤5% on sustained NAV-accretive buybacks	Reframe needed A Saba-forced wind-down/continuation vote — converts the thesis from "narrowing discount + compounding" to a one-time NAV-realization event, collapsing the holding period and the distribution.
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

NAV (net asset value) — Per-share portfolio value (assets minus liabilities). For USA ~343.91p (\$4.61) — the yardstick a closed-end fund is measured against.	Discount / premium to NAV — Gap between share price and NAV. USA trades ~2-3% below NAV; closing the discount is return independent of the portfolio.	Closed-end investment trust — A UK listed fund with a fixed share count, so the price floats on supply/demand and can diverge from NAV (unlike an open-end fund).
The private sleeve / unlisted holdings — The ~30-40% of assets in unlisted companies (SpaceX, Anthropic, Stripe, Databricks), manager-valued between funding events — illiquid and mark-dependent (mandate allows up to 50%).	Saba Capital (activist) — An activist holding ~29% of USA, pressing discount-control (buybacks, tenders) — both why the discount is tight and a re-widening risk if it exits.	